

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 22-17

BAKERLY, LLC
COMPLAINANT,

v.
SEAFRIGO USA INC.
RESPONDENT

**COMPLAINANT’S REPLY TO RESPONDENT’S OPPOSITION TO BAKERLY, LLC’S
MOTION FOR PARTIAL SUMMARY DECISION**

I. INTRODUCTION.

Complainant respectfully submits this Reply to Respondent’s Opposition to Complainant’s Motion for Partial Summary Judgment¹ served on Respondent Seafrigo USA, Inc. seeking a Decision finding that the risk of demurrage charges had been assumed by Respondent acting as a non-vessel operating common carrier (“NVOCC”) on door delivery transportation terms pursuant to Respondent’s bill of lading terms and Rules Tariff provisions to the extent that

¹ Complainant filed a Motion for Partial Summary Decision (not a Motion for Partial Summary Judgment as noted by Respondent’s Opposition) pursuant to 46 C.F.R. § 502.69 and § 502.70 for a final determination of part of subject proceeding which would determine that certain risk of demurrage charges had been assumed by Respondent acting as an non-vessel operating common carrier (“NVOCC”) on door delivery transportation terms pursuant to Respondent’s bill of lading terms and Rules Tariff provisions to the extent that Complainant itself was not directly responsible for the demurrage incurred. The Decision sought is intended to be a viable and efficient mechanism for adjudication of the demurrage issues, the possible settlement of the matters, and a useful legal artifice to apply to conduct meaningful discovery in a proceeding involving hundreds of transactions.

Complainant was not otherwise directly responsible for the demurrage incurred. Complainant maintains that its motion is a dispositive motion pursuant to the definition of Dispositive Motions as provided in 46 C.F.R. § 502.69(g) wherein it is stated that “[f]or the purpose of these rules, dispositive motion means . . . any other motion for a final determination of all or part of a proceeding.”

The basis for this Motion arises from the receipt of demurrage invoices by Bakerly from Seafrigo which included circumstances related to “D&D charges [which] often arose from an inability to pick up containers from a port or terminal . . . because of nationwide congestion that plagued the ocean transportation industry in 2021 and early 2022.” (Seafrigo Answer at 2). Admittedly, such charges were in no way caused by either Bakerly or Seafrigo. The bill of lading terms and Rules Tariff provisions are undisputed, and it is Bakerly’s position that as a matter of law, these terms clearly allocate the demurrage and the risk of demurrage to Seafrigo itself when the performance is **door delivery** (as they are here) and when the demurrage incurred was caused by third parties and outside circumstances, and not by the acts or omissions of either Complainant or Respondent. This category of demurrage forms a substantial part of this dispute. Therefore, a legal determination early in this proceeding that this is the law of the case—i.e., that demurrage resulting from outside circumstances which are not caused by either Seafrigo nor Bakerly have been allocated to Seafrigo pursuant to provisions in Seafrigo’s bill of lading and its Rules Tariff would result in measurable efficiencies in the adjudication, settlement, and discovery in this proceeding. It is Bakerly’s position that such material facts (bill of lading terms and Rules Tariff provisions) are not genuinely in dispute as outlined in Seafrigo’s Answer and discovery responses. Further, these terms, as a matter of law, require a dispositive motion. Complainant hereby renews all previous arguments raised in such Motion for Partial Summary

Decision, and submits this Reply to Respondent's Opposition To Bakerly, LLC's Motion for Partial Summary Decision.

The net effect of such a Decision at this stage of the proceeding would be to provide the parties a finding of immense value that would render an efficient determination of the standards early in the proceeding to be applied by the parties as to the allocation of the demurrage charges, and or the risks of demurrage to create efficiencies at the following important stages of this proceeding:

- a) For **adjudication purposes** of the Complaint itself to allocate demurrage charges under the following circumstances
 - i. When the material facts indicate that Seafrigo acts or omissions resulted in the demurrage;
 - ii. When the material facts indicate that Bakerly's, or Bakerly's agents' acts or omissions resulted in the demurrage charges subject of this proceeding; and, most importantly,
 - iii. When the material facts related to bill of lading terms, and Rules Tariff provisions allocate the demurrage and the risk of demurrage to Seafrigo itself in the context of obligations undertaken for the performance of door delivery services when the reasons for the demurrage incurred are caused by third parties and outside circumstances, and not by the acts or omissions of either Complainant or Respondent.
- b) For **settlement purposes** to allow the parties factual and legal bases for encouraging settlement of the Complaint short of time-consuming and costly litigation; and

- c) For **efficient discovery** with which to address the allocation of demurrage based on the culpability of the parties themselves, and the circumstances where Seafrigo, pursuant to its own provisions of its Rules Tariff, allegedly undertakes those responsibilities when circumstances outside the acts or omissions of the parties result in demurrage costs. These, for example, involve the allocation of the demurrage risks caused by Port Congestion which might include *inter alia* shortage of chassis, weather-related factors, and shortage of key employees, as examples only, and are not intended as exhaustive.

II. ARGUMENT IN REPLY TO RESPONDENT'S OPPOSITION TO COMPLAINANT'S MOTION FOR PARTIAL SUMMARY DECISION

A. Seafrigo's Rules Tariff Provisions at Rule 15 and Rule 17 Support Conclusion that Bakerly Would Not be Liable for Demurrage When Seafrigo is Obligated to Provide Door Delivery Service

It is Bakerly's position that the following provisions of Seafrigo's own Rules Tariff clearly and unequivocally allocate demurrage risk to Seafrigo when neither Bakerly nor Seafrigo are directly culpable for the demurrage incurred and when transport is provided by Seafrigo on a door delivery basis as an NVOCC. Seafrigo has admitted that the shipments subject to this proceeding are all door delivery. See discussion below of Seafrigo's Rules 15 and 17 from its Rules Tariff as these relate to demurrage:

- 1. Rule 15: Seafrigo's Rule 15 regarding free time, detention, and demurrage allocates demurrage charges for service is port at destination and does not cover demurrage charges when the moves are on a door delivery basis.**

Rule 15 at Rules Tariff---FREE TIME, DETENTION AND DEMURRAGE

15.1 Carrier is a non-vessel operating common carrier and the equipment it uses to provide transportation services to Merchant is provided by the vessel-operating common carrier (VOCC) that

operates the vessel transporting the cargo.

15.2 The VOCC imposes detention charges if empty container released for loading and/or loaded containers released for unloading are not returned within a specified period of time (free time). Merchant shall be liable to Carrier for any detention charges imposed on Carrier by VOCC as a result of Merchants failure to return containers within applicable free time.

15.3: The VOCC imposes demurrage charges if loaded containers are not removed from the marine terminal within a specified period of time (free time). **Where service is port at destination** and removal of containers from the VOCCs marine terminal is responsibility of Merchant, Merchant shall be liable to Carrier for any demurrage charges imposed on Carrier by VOCC as a result of Merchants failure to return containers within applicable free time. **(Emphasis added.)**

The above is the totality of Seafrigo's Rule 15 dealing with free time, detention, and demurrage. Rule 15 has no corresponding demurrage language for when service by Seafrigo is to an inland point. The Rules do not contain similar provisions for other types of service. And Seafrigo has admitted that all the subject shipments are door delivery shipments.

Seafrigo throughout this proceeding, contrary to this Rules Tariff provision, has taken the position that in the factual context when third party events such as shortage of chassis, drivers, or any other situation—not the making of either Seafrigo or Bakerly—that the allocation of liability automatically is allocated to Bakerly. Seafrigo projects itself in its counternarrative *ad nauseum* as a victim advancing funds on behalf of Bakerly to avoid demurrage, but ignores the fact of the service model it has chosen to conduct business—i.e., the NVOCC structure.

By regulatory definition, NVOCCs purchase ocean transport from the underlying vessel operating common carrier to sell to the shipper (Bakerly) and generally appear as either a shipper or a consignee party on the ocean common carrier's master bill of lading with direct responsibilities to the ocean common carrier and/or marine terminal operator for demurrage and

detention. In other words, Seafrigo is paying sums to the ocean carriers and/or marine terminals that Seafrigo directly would have the legal obligation to pay to those entities. The “pass-through” provisions of the Ocean Shipping Reform Act of 2022 (“the Act”), which Seafrigo cites in its Opposition argument, would still be limited to those ocean common carrier and/or terminal demurrage invoices to which Bakerly had a legal obligation to pay. It is Bakerly’s position that it did not have the obligation to pay demurrage charges being invoiced in this proceeding which were admittedly shipped on a door delivery basis wherein neither Bakerly nor its agents were at fault for the conditions that resulted in demurrage.

Contractually, Bakerly is only bound by the terms and conditions of the house bill of lading wherein Seafrigo acts as a common carrier, and Bakerly as a shipper. Bakerly and Seafrigo are also bound by federal law that imposes further conditions contained in Seafrigo’s Rules Tariff on the ocean shipping transactions parties between the parties.

The sole term, Rule 15, in the Seafrigo Rules Tariff dealing with Bakerly’s obligation to pay demurrage to Seafrigo is limited to when “service is port at destination.” This is Seafrigo’s Rule 15.3. This is not a “gotcha” argument as seems to be the tone in Seafrigo’s Opposition. This is the reality of the regulated ocean transportation industry in the inbound and outbound ocean commerce of the United States. This is a classic application of absolute liability dictated by the Act in the ocean shipping context based on the legal doctrine that assigns responsibility for damages or injuries even if the person or company that was responsible for the damage or injury was not at fault or negligent. This allocation of risk to itself emanates from Seafrigo’s own Rules Tariff. This self-allocation to Seafrigo is no more or less reasonable than if Seafrigo’s Rule 15 had allocated this liability to Bakerly on door delivery service. It is merely the regulatory reality which applies to subject shipments as a result of Rules Tariff provisions which deal specifically

with demurrage.

Notwithstanding that Seafrigo is now claiming that this allocation of liability is not intended, it is, nevertheless, the regulatory reality which controls the issues of demurrage in this proceeding. The outcry from Seafrigo that Bakerly, after dealing with Seafrigo, for many years was now at this late date claiming this defense. There is no course of conduct legal principle between the parties in a regulated context in ocean shipping when it comes to provisions in Rules Tariffs.² In fact, there was no real reason to look at the demurrage rules until the demurrage and detention charges started being charged in the millions of dollars in the recent past. In fact, the opposite argument is a more viable argument: Why did Seafrigo charge Bakerly, and perhaps other shippers' demurrage on door delivery moves, when its Rules Tariff at 15.3 limited it to service to port since February 22, 2017. See Rule 15; Complaint, Exhibit 5.

2. Rule 17 excepts Bakerly's risk and expense when shipments were door delivery, as the subject shipments were.

**Rule 17
USE OF EQUIPMENT**

17.1 General Provisions

Merchant acknowledges and agrees that Carrier, as an NVOCC, does not own or operate equipment (i.e., chassis or containers). Merchants use of chassis leasing companies that own and/or operate the containers and chassis used to transport Merchants cargo. Merchant, by tendering shipments to Carrier for transportation, appoints Carrier as its agent for acquiring containers and chassis for such transportation and agreeing to free time, as well as demurrage and detention, storage and other charges that accrue with respect to containers and chassis used for such transportation, all of which shall be for the account of the Merchant **except to the extent solely attributable to actions or omissions of Carrier. (emphasis added).**

² See *Global Link Logistics, Inc. v. Hapag-Lloyd AG*, FMC Docket No. 13-07, 2014 WL 5316345 at *20 (Apr. 17, 2014) (granting motion to dismiss on "course of dealing" claims as they were "inherently contract claims" and did not "involve elements peculiar to the Shipping Act") (internal citations omitted).

17.2 Merchants Risk and Expense

Except as otherwise specifically provided in this Tariff Rule, and Carrier's bill of lading terms and conditions, the following shall be at the Merchants risk and all expenses in connection therewith shall be for the Merchants account:

1. The pick up, transport, and delivery of the containers/goods moving between the port of loading or port of discharge on the one hand, and Merchant's facility on the other hand, **except to the extent the goods are door cargo; and (emphasis added).**
2. The care and custody of equipment.

Rule 17.1 clearly establishes the responsibility of demurrage and detention to the Merchant, including Bakerly, to the extent that such demurrage and/or detention were not attributable to the actions or omissions of Seafrigo. With respect to demurrage, interpreted alongside Rule 15.3,³ Bakerly is responsible for demurrage except on door deliveries. Seafrigo's explanation that 17.2.1 prevents double billing is inapposite because double billing is already a violation of the Shipping Act. To interpret it as Seafrigo indicates would be a convenient leap in logic. Instead, Rule 17.2.1 further reinforces that Bakerly is not liable for risks or expenses on door deliveries.

Seafrigo is not genuinely disputing the text of either Rule 15.3 or Rule 17, so for the purposes of this Motion, those are not genuine disputes of material facts for purposes of the dispositive proceeding that is the subject of this Motion. Rule 15.3 and Rule 17 are the

³ Two canons of interpretation are appropriate here to interpret the provision together: the Surplusage Canon and the Harmonious-Reading Canon. The Surplusage Canon requires that "If possible, every word and every provision is to be given effect (*verba cum effectu sunt accipienda*). None should be ignored. None should needlessly be given an interpretation that causes it to duplicate another provision or to have no consequence." The Harmonious-Reading Canon provides that "The provisions of a text should be interpreted in a way that renders them compatible, not contradictory." A. Scalia & B. Garner, *Reading Law: The Interpretation of Legal Texts* 174–82 (2012).

controlling material facts for purposes of this Motion, and the parties are not disputing their existence as they appear in Seafrigo's Rules Tariff. There is no genuine dispute as to the exact literal content of those Rules which are key to meet the requirement of Rule 56 of the Federal Rules of Civil Procedure. Therefore, the Administrative Law Judge can readily and reasonably interpret these in the context of the issues of this Motion and, as a matter of law, make a determination as to their meaning.

B. Further Reply to Seafrigo's Opposition to Bakerly Motion For Partial Summary Judgment

In addition to the above analysis of Seafrigo's Rules Tariff, Rule 15 and Rule 17 wherein it is clear that these Rules are material facts for which no genuine dispute exists as to their applicability to this Motion, there are additional objections by Bakerly as to Seafrigo's Opposition on other grounds which involve in some cases, outright misinformation, or are for some other reason inappropriate:

1. Rule 56 of the Federal Rules of Civil Procedure allows a Partial Summary Judgment to be filed "until 30 days after the close of all discovery" by citing to particular parts of materials in the record as in this case, where all matters cited exist as public records, are part of pleadings which have been admitted, admissions and interrogatory answers. The main records in the Motion supporting the relief requested are Seafrigo's bill of lading terms and conditions, and Rule 15 and Rule 17 of its Rules Tariff which is a document required by the regulations of the Federal Maritime Commission. None of the facts, information, or documents identified as material facts can change with additional discovery.

2. Seafrigo writes about Bakerly ignoring centuries of maritime law without specifying which laws it is referring to and neglects to cite the pertinent U.S. maritime law in place since the Shipping Act of 1916, which Seafrigo is conveniently ignoring and which apply to the demurrage issue in question—i.e., that ocean common carriers, including NVOCCs can only lawfully act pursuant to rates, charges, and regulations contained in its Rule Tariffs, or as part of the Federal Maritime Commission regulations. 46 U.S.C. § 41104(a)(2); *CMI Distribution, Inc., Complainant, v. Service By Air, Inc., Radiant Customs Services Inc. (formerly Known As Sba Consolidators, Inc.) and Las Freight System Ltd. Respondents*, 2018 WL 1757670, at *14–15 (“46 U.S.C. § 41104(2) expressly provides that a common carrier may not provide service in the liner trade that is ‘not in accordance with the rates, charges, classifications, rules, and practices contained in a tariff.’”). More specifically Seafrigo’s Rule 15., as previously noted, has been in effect pursuant to the Rules Tariff since February 22, 2017.
3. Seafrigo indicates that the reference to demurrage in the Negotiated Rate Arrangements which were applicable contained a reference to demurrage and detention charges. The exact statement on the cover sheet of the NRA quotations state:
 - i. “This Rate Proposal does not include demurrage and detention charges, for which the shipper and/or consignee **may be liable** and port terminal handling charges.”
 - ii. “All shipments are subject to the rules in Seafrigo’s bill of lading, **its Rules Tariff** and its standard trading conditions.” (Verified Complaint, Exhibit 3) (emphasis added).

This is consistent with Bakerly’s position pertaining to the subject Motion for Partial Summary Decision. In fact, the demurrage for which Bakerly “may be liable” and/or “not

liable” is spelled out in Seafrigo’s Rules Tariff as spelled out in Seafrigo’s NRA noted above and further discussed herein in this Reply.

4. Seafrigo is deliberately misinforming the Administrative Law Judge with serious allegations which have no factual support. In fact, there is support to the contrary. On page 6 of Seafrigo’s Opposition it states:

Reduced to its nub, Bakerly’s contention is that it is not obligated to pay demurrage and detention charges imposed by VOCCs and marine terminal operators even in instances where such charges are a direct result of its own failure to accept goods for delivery or to have space to do so, or to unload delivered containers and to allow for their return to the terminal.

Since this proceeding began, Bakerly has taken the position that it would pay for any demurrage and/or detention which was incurred as the result of Bakerly or its warehouse agents having directly caused such costs. On September 12, 2022, Bakerly agreed in the Joint Report of Parties provided to the Commission that “[t]he parties agreed that Bakerly would provide detailed information to Seafrigo of any demurrage and/or detention incurred due to admitted problems at certain Bakerly warehouse facilities at specific time periods and would remove those amounts from the claims of the proceeding.” As a result of a recent Meet and Confer session it has now been communicated on a transaction-by-transaction basis the amounts for which Bakerly has accepted full or partial responsibility depending on the facts for circumstances at certain warehouse locations with issues causing these expenses between July through October 2021. This spreadsheet with that information was sent to Attorney Brendan Collins on or about December 14, 2022 with that information which spells out the details. (Exhibit MC07-1).

C. Seafrigo is bound by the Rules Tariff provisions under federal statute.

Under 46 U.S.C. § 41104(a)(2), Seafrigo is required to provide service in accordance with the rates, charges, **rules, and practices contained in Seafrigo's published tariff.** *CMI Distribution, Inc., Complainant, v. Service By Air, Inc., Radiant Customs Services Inc. (formerly Known As Sba Consolidators, Inc.) and Las Freight System Ltd. Respondents*, 2018 WL 1757670, at *14–15 (“46 U.S.C. § 41104(2) expressly provides that a common carrier may not provide service in the liner trade that is ‘not in accordance with the rates, charges, classifications, rules, and practices contained in a tariff.’”).

“Perhaps nothing is more important to effective protection of the shipping public and industry than the requirement that carriers file their tariffs and adhere to them strictly.” *Cari-cargo International, Inc. Jorge Villena and Sea Trade Shipping*, 1986 WL 170057, at *9. In fact, to do otherwise would be an undisputed violation of the Ocean Shipping Reform Act of 2022 and would run afoul of longstanding Court decisions which have vehemently held that tariffs have the force and effect of law and should not be departed from. *See id.* *See also* discussion in *Exportorient Ansari v. American President Lines, Ltd.*, 1994 WL 326078; *Mueller v. Peralta Shipping Corp.*, 8 F.M.C. 361, 364-365 (1965); *Matson Navigation Co. v. Capitol Co.*, 15 SRR 403, 408-409 (N.D. Cal. 1978).

Therefore, Seafrigo is obligated by law to only operate under the demurrage terms as provided in its Rules Tariff for door delivery service and may not arbitrarily assign demurrage risk to Bakerly when Bakerly itself is not directly culpable for the demurrage costs based on Seafrigo's own terms. Demurrage risk remains with Bakerly only when it or its agents directly cause the demurrage in question. No alleged course of dealing may supersede the clear provisions outlined in the Rules Tariff.

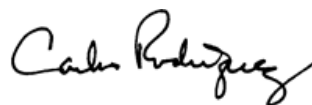
III. CONCLUSION.

It is Bakerly's position that the clear language in Seafrigo's Rules Tariff in Rule 15 and Rule 17, as discussed herein, are material facts (bill of lading terms and Rules Tariff provisions) which are not genuinely in dispute and would be subject to a dispositive motion and a corresponding decision with regard to the issue of whether Seafrigo has itself allocated liability in the context of door delivery moves where demurrage resulted due to no fault of either Seafrigo and/or Bakerly.

A decision to this effect would have a profound impact on the management of this proceeding as has been indicated in this Reply in the adjudication of the matter, the possible settlement of the case, and, in streamlining the remaining discovery to relevant fact issues.

Dated: December 14, 2022

Respectfully Submitted:



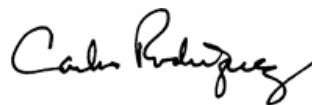
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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 14th day of December 2022, a true and current copy of the foregoing Motion for Partial Summary Decision and Memorandum in support was filed via electronic mail with the Federal Maritime Commission, and a copy was served via electronic mail on the following counsel:

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